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China Healthcare | Asia Pacific

Chart of the Week – China Drug Approvals in 1H26 and 2025

Key Takeaways

- The NMPA approved 58 and 120 novel drugs in 1H26 and 2025, respectively. Of those approved in 1H26, 31 are small molecules and 27 are biologics.
- These include izalontamab brengitecan (recurrent/metastatic NPC), satricabtagene autoleucel (CLDN18.2+/HER2- G/GEJA), and retlirafusp (PD-L1+ G/GEJC).
- Mirroring the approval trend in the US, small molecules still make up the majority of Chinese approvals: 60%+ by number from 2019-2025.
- In 2025, oncology topped the number of approved indications, with breast cancer seeing 9 launches, e.g., PI3Kα and AKT inhibitors, TROP2/HER2-targeted ADCs.

China novel drug approvals crossed the triple-digit mark for the first time in 2025, with domestic developer approvals outnumbering MNCs': Of the 120 novel drugs approved in 2025, 63 originated from Chinese developers (vs. 57 from MNCs). In our view, this speaks to China's continual rise as a biopharma R&D powerhouse and a supportive regulatory environment that expedites drug development and trial starts. The help of China's vast CDMO industry was also instrumental in achieving technological breakthroughs. In 2025, China-originated assets covered multiple modalities with blockbuster potential: 1) **mazdutide** (Innovent), a dual GCG/GLP-1 agonist for weight loss and T2D; 2) **trastuzumab rezetecan** (Hengrui), a novel HER-2 targeting ADC for NSCLC and HER2+ breast cancer; 3) **recaticimab** (Hengrui), a novel PCSK9 inhibitor for hypercholesterolemia and mixed dyslipidemia. One of four key planks of our Top Pick thesis for **WuXi AppTec-A** (China's top CDMO) is an accelerating approval trend for small molecules leading to more commercial contracts and higher propensity to outsource by MNCs and biotechs (note).

Exhibit 1: NMPA approvals in the last 7 years



Source: PharmCube; NMPA; Morgan Stanley Research.

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CHINA HEALTHCARE

Asia Pacific

Industry View

Attractive

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Valuation Methodology and Risks

WuXi AppTec Co Ltd (603259.SS)

Base case, discounted cash flow methodology. Key assumptions: a WACC of 10% and terminal growth rate of 4%.

Risks to Upside

- Continual rise in outsourcing propensity from MNCs for blockbuster drugs;
- New drug targets and leads emerging at a much faster pace with the help of AI, leading to demand for wet lab services;
- Margins expansion from higher utilization rates.

Risks to Downside

- Missed expectations for end-market sales of significant commercial contracts, e.g., loss of exclusivity.
- Volatility in VC/PE funding;
- Sino-US relations.

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
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Total	3,668		933			1731	

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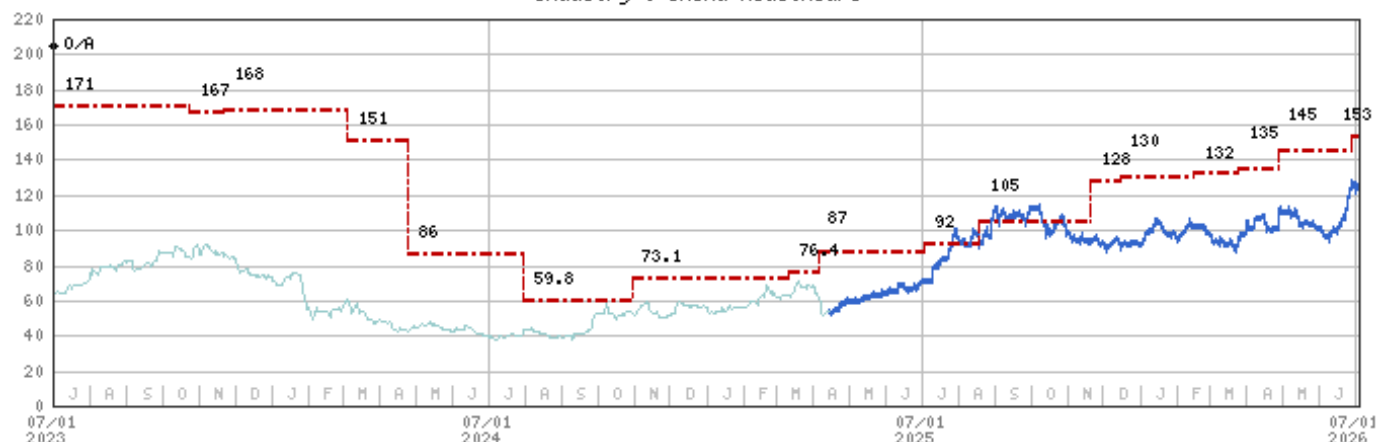
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WuXi AppTec Co Ltd (603259.SS) - As of 07/04/26 GMT in CNY
Industry : China Healthcare



Stock Rating History: 7/1/21 : 0/A

Price Target History: 6/17/21 : 162; 7/15/21 : 182; 8/13/21 : 188; 11/3/21 : 192; 4/14/22 : 174; 5/11/22 : 152; 8/4/22 : 142; 8/8/22 : 153; 1/30/23 : 171; 10/24/23 : 167; 11/22/23 : 168; 3/4/24 : 151; 4/24/24 : 86; 7/31/24 : 59.8; 10/30/24 : 73.1; 3/11/25 : 76.4; 4/5/25 : 87; 7/3/25 : 92; 8/19/25 : 105; 11/21/25 : 128; 12/15/25 : 130; 2/16/26 : 132; 3/25/26 : 135; 4/27/26 : 145; 6/29/26 : 153

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INDUSTRY COVERAGE: China Healthcare

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/03/2026)
Alexis Yan, CFA		
3SBio (1530.HK)	O (08/01/2025)	HK\$19.55
Adicon Holdings Ltd (9860.HK)	O (08/03/2023)	HK\$4.08
Aier Eye Hospital Group (300015.SZ)	U (07/08/2024)	Rmb8.55
Alibaba Health Information Technology (0241.HK)	U (05/28/2025)	HK\$3.29
Angelalign Technology Inc (6699.HK)	E (03/17/2023)	HK\$74.95
Beauty Farm Medical and Health Industry (2373.HK)	O (01/21/2026)	HK\$17.00
Beijing Tiantan Biological Products Corp (600161.SS)	O (05/27/2024)	Rmb12.18
China Resources Boya Bio-pharmaceutical (300294.SZ)	E (05/27/2024)	Rmb15.14
CSPC Pharmaceutical Group (1093.HK)	O (08/15/2012)	HK\$8.00
Dian Diagnostics Group Co Ltd (300244.SZ)	E (07/12/2022)	Rmb20.22
Fosun Pharmaceutical (2196.HK)	O (09/08/2025)	HK\$16.57
Fosun Pharmaceutical (600196.SS)	O (09/08/2025)	Rmb23.29
Guangzhou Kingmed Diagnostics (603882.SS)	U (07/08/2024)	Rmb23.86
Gushengtang Holdings Ltd (2273.HK)	O (07/08/2024)	HK\$30.46
Hansoh Pharmaceutical Group Co Ltd (3692.HK)	O (07/16/2019)	HK\$33.70
Huadong Medicine Co Ltd (000963.SZ)	U (05/06/2024)	Rmb30.05
Hygeia Healthcare Holdings Co., Ltd. (6078.HK)	O (07/30/2020)	HK\$9.47
Imeik Technology Development Co Ltd (300896.SZ)	U (01/21/2026)	Rmb91.63
JD Health International Inc. (6618.HK)	E (05/28/2025)	HK\$36.10
Jiangsu Hengrui (600276.SS)	O (07/01/2025)	Rmb54.45
Jiangsu Hengrui (1276.HK)	O (07/01/2025)	HK\$59.90
Jinxin Fertility Group Ltd (1951.HK)	U (07/14/2025)	HK\$2.12
Mindray Bio-Medical (300760.SZ)	O (07/15/2020)	Rmb140.02
Ping An Healthcare and Technology (1833.HK)	E (05/28/2025)	HK\$7.41
Shandong Weigao (1066.HK)	E (07/10/2020)	HK\$3.26
Shanghai United Imaging Healthcare Co (688271.SS)	E (02/21/2025)	Rmb104.93

Shenzhen Edge Medical (2675.HK)	O (02/16/2026)	HK\$44.36
Shenzhen New Industries (300832.SZ)	O (05/28/2024)	Rmb44.30
Sichuan Kelun Pharmaceutical Co Ltd (002422.SZ)	U (05/16/2025)	Rmb47.98
Simcere Pharmaceutical Group (2096.HK)	E (05/16/2025)	HK\$11.47
Sino Biopharmaceutical (1177.HK)	O (04/09/2019)	HK\$4.74
Clinton Ng		
APT Medical Inc (688617.SS)	O (10/21/2025)	Rmb194.66
China Medical System (0867.HK)	E (05/16/2025)	HK\$11.53
MicroPort Scientific Corp. (0853.HK)	E (09/25/2023)	HK\$6.75
Peijia Medical Ltd (9996.HK)	O (06/18/2020)	HK\$4.32
Zylox-Tonbridge Medical Technology Co. (2190.HK)	O (08/05/2021)	HK\$20.00
Jack Lin		
Abbisko Cayman Ltd (2256.HK)	O (11/17/2021)	HK\$11.48
Akeso, Inc. (9926.HK)	O (05/28/2020)	HK\$102.40
Duality Biotherapeutics Inc (9606.HK)	O (05/22/2025)	HK\$215.20
Everest Medicines Ltd (1952.HK)	E (03/15/2024)	HK\$27.80
HUTCHMED (China) Ltd (0013.HK)	E (05/29/2026)	HK\$18.05
HUTCHMED (China) Ltd (HCM.O)	E (05/29/2026)	US\$11.44
InnoCare Pharma Ltd (9969.HK)	O (05/29/2026)	HK\$13.08
Innovent Biologics Inc (1801.HK)	O (03/03/2026)	HK\$87.80
Insilico Medicine (3696.HK)	O (02/03/2026)	HK\$37.38
Keymed Biosciences Inc. (2162.HK)	O (08/10/2021)	HK\$81.35
Nanjing Leads Biolabs Co Ltd (9887.HK)	E (09/02/2025)	HK\$52.75
RemeGen Co., Ltd. (9995.HK)	E (05/08/2024)	HK\$87.80
VISEN Pharmaceuticals (2561.HK)	O (04/29/2025)	HK\$26.42
Zai Lab Ltd (ZLAB.O)	O (12/14/2023)	US\$19.12
Zai Lab Ltd (9688.HK)	O (12/14/2023)	HK\$14.96
Laurence Tam		
Acrobiosystems Co Ltd (301080.SZ)	O (09/11/2025)	Rmb48.89
Apeloa Pharmaceutical Co Ltd (000739.SZ)	O (02/28/2025)	Rmb18.24
Asymchem Laboratories. Inc (002821.SZ)	E (08/01/2025)	Rmb165.80
Asymchem Laboratories. Inc (6821.HK)	E (06/06/2023)	HK\$118.70
Beijing Tongrentang (600085.SS)	U (11/03/2014)	Rmb23.36
Beijing Tongrentang Chinese Medicine (3613.HK)	O (01/14/2015)	HK\$6.47
China National Accord Medicines Corp Ltd (000028.SZ)	U (07/25/2022)	Rmb20.36
China Resources Pharmaceutical Group Ltd (3320.HK)	O (06/16/2022)	HK\$4.50
China Resources Sanjiu Medical & Pharma (000999.SZ)	O (08/30/2019)	Rmb24.03
China Traditional Chinese Medicine (0570.HK)	U (01/17/2025)	HK\$1.41
DaShenLin Pharmaceutical (603233.SS)	O (07/25/2022)	Rmb17.05
Dong E E Jiao Co. (000423.SZ)	O (05/16/2024)	Rmb47.09
Fu Shou Yuan International Group Ltd (1448.HK)	E (03/19/2025)	HK\$2.64
Genscript Biotech Corporation (1548.HK)	O (08/14/2024)	HK\$13.61
Hangzhou Tigermed Consulting (300347.SZ)	O (08/01/2025)	Rmb46.93
Jiangzhong Pharmaceutical Co. Ltd. (600750.SS)	O (02/08/2024)	Rmb23.31
Joinn Laboratories China Co Ltd (603127.SS)	E (06/06/2023)	Rmb40.56
Joinn Laboratories China Co Ltd (6127.HK)	E (02/26/2024)	HK\$19.49
Jointown Pharmaceutical Group (600998.SS)	U (07/26/2021)	Rmb4.94
LBX Pharmacy Chain (603883.SS)	O (03/14/2022)	Rmb11.47
Medtide (3880.HK)	E (08/06/2025)	HK\$22.00
Nanjing King-friend Biochemical (603707.SS)	O (02/28/2025)	Rmb7.64
Pharmaron (3759.HK)	O (09/25/2024)	HK\$19.52
Pharmaron (300759.SZ)	E (09/25/2024)	Rmb29.57
Shandong Xinhua Pharmaceutical Co Ltd (000756.SZ)	U (02/28/2025)	Rmb14.49
Shanghai Pharmaceutical (601607.SS)	E (08/17/2021)	Rmb16.12
Shanghai Pharmaceutical (2607.HK)	O (08/17/2021)	HK\$11.74

Shenzhen Hepalink Pharmaceutical (002399.SZ)	U (06/16/2023)	Rmb9.55
Sinopharm Group (1099.HK)	O (02/10/2023)	HK\$16.74
Tasly Pharmaceutical Group Co. Ltd (600535.SS)	E (07/19/2024)	Rmb14.00
The United Laboratories (3933.HK)	E (06/13/2017)	HK\$9.36
Tofflon Science & Technology Group (300171.SZ)	E (09/11/2025)	Rmb11.81
WuXi AppTec Co Ltd (603259.SS)	O (01/17/2019)	Rmb124.12
WuXi AppTec Co Ltd (2359.HK)	O (01/17/2019)	HK\$156.10
WuXi Biologics Cayman Inc (2269.HK)	O (07/17/2017)	HK\$37.56
WuXi XDC Cayman Inc. (2268.HK)	O (12/22/2023)	HK\$61.70
Yantai Dongcheng Biochemicals Co Ltd (002675.SZ)	E (02/28/2025)	Rmb12.92
Yifeng Pharmacy Chain Co Ltd (603939.SS)	O (07/25/2022)	Rmb19.96
Yixintang Pharmaceutical (002727.SZ)	E (07/25/2022)	Rmb10.36
Yunnan Baiyao Group (000538.SZ)	O (10/11/2021)	Rmb48.86
Zhangzhou Pientzehuang Pharmaceutical (600436.SS)	U (01/21/2022)	Rmb114.20
Zhejiang Hisun Pharmaceutical Co. Ltd. (600267.SS)	U (06/01/2023)	Rmb10.53
Zhejiang Huahai Pharmaceutical Co. Ltd. (600521.SS)	O (06/01/2023)	Rmb15.41
Zhejiang Jiuzhou Pharmaceutical Co Ltd (603456.SS)	E (02/28/2025)	Rmb14.64
Zhejiang Medicine Co. Ltd. (600216.SS)	E (02/28/2025)	Rmb12.29

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* Historical prices are not split adjusted.